



ORACLE®

Licensing & Distribution Agreement Model

What is a License?

- A license is the “ **Right To Use** ” (RTU) the software and not the software itself. If you have a license, you can obtain a copy of the software through whatever means - order, download, use the CDs from your last project, etc.
- Licenses are not tied to the product version. For example, an Enterprise Edition database license is equally valid for Oracle 9i, Oracle 10g or Oracle 11g. However, you are only entitled to new versions if you have a valid maintenance and support contract in place.

Oracle License and Support Compliance

Some possibilities related to license compliance cases are:

- More users than what are licensed.
- More CPU's than what are licensed.
- Mixed support: licenses with active support and others where support has not been paid for.
- Using options such as the Tuning and Diagnostics Packs that are part of GRID Control, which is free, but need a separate license. Same goes for Partitioning and RAC (except for in SE) it is an extra cost.
- Customizing and modification of E-Business Suite components may necessitate full use Oracle Application Server and Database licenses.
- Stand-by and Back up servers.
- Old license metrics that do not account for new business realities.

What type of License Distribution Agreement available?

New



FUDA



ASFU



ESL

Full Use Distribution Agreement (FUDA)

- A **Full Use License** is the least restrictive license offered by Oracle and grants the end user full rights to develop custom applications with the Oracle software and hardware.

ESL (Embedded Software License)

- An **Embedded Software License** is a very restrictive license type available from Independent Software Vendors (ISVs) who embed Oracle technology into their product.
- The end-user may not even be aware that the software package contains Oracle technology and should not be able to access it directly as a developer or system administrator.
- An Embedded Software License is **not upgradeable** to a Full Use or an Application Specific Full Use License **nor is it migratable** to another licensing metric.

Additional Embedded Software License Practices

- The end user can only access the Oracle programs through the application program, and the end user has little or no knowledge that an Oracle program exists in the application.
- An Embedded Software License may be used by the end user only to execute the partner's / ISV's single application program.

ASFU (Application Specific Full Use)

- An **Application Specific Full Use** license is a restricted type of license sold by a Solution Provider in conjunction with its third-party Application Package as defined in an Application Package Attachment, or an Application Package Registration Form.
 - Application Specific Full Use Programs may not be used with any additional functionality or any additional application modules not described in the Application Package Attachment, or Application Package Registration Form.
 - Application Specific Full Use licenses may only be used by the end-user to execute the Partner's application program. Application Specific Full Use licenses may not be used with more than one Application Package.
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- For example, you can buy a ASFU license from SAP AG to use Oracle with the SAP/R3 system. This license would then be application specific and cannot be used for anything else.
 - Another example, if the Partner's application is defined as a financial application, which manages accounts payable, accounts receivable, and generates invoices, the application could not be modified to include a customized order entry module, or a shipping and receiving module.

Additional Application Specific Full Use Practices

- Application Specific Full Use licenses may only be distributed by a Partner in conjunction with that Partner's application program, which has been registered with Oracle via an Application Package Attachment or Application Package Registration Form. Application Specific Full Use licenses cannot be sold by a Partner in support of another Partner's application.
- Third-party report writers and query tools may be used in conjunction with the Application Specific Full Use licenses in an Application Package provided they are not used to modify the Application Package in any way.

Oracle distinguishes **three levels of modification** to ***E-Business Suite application** that have special licensing requirements as described below:

- **No Modification**
- **Modification to Application**
- **Modification to Database**

***NOTE:**

E-Business Suite application has using ESL model

No Modification

- The customer is deploying the application out-of-the-box (without modifications). In this case, the customer receives a Restricted Use license for the Database Enterprise Edition and a limited set of technology products, including Internet Application Server Enterprise Edition. The Restricted Use license is limited to use in running the out-of-the-box application

Modification to Application

- Modifications implemented as **Java programs and/or modifications to Forms, Reports and/or Workbooks**: These modifications include **any creation or modification of reports, forms, and/or workbooks**. In addition, modifications implemented as Java programs, which include Java that produces html interface or Java business logic fall under this category.
- In these two scenarios, the customer receives a **Restricted Use license** for the **Oracle Database Enterprise Edition** and **a limited set of other products**. This Restricted Use license may only be used to run with the licensed application(s); it cannot be used for any other purposes.
- Additionally, the customer is required to purchase licenses for a limited set of products, including Oracle Internet Application Server Enterprise Edition for **the total number of end users**** or **processors** for which the modifications are deployed.

Modification to Database

- Examples of these modifications include adding and/or modifying the tables, columns, stored procedures and triggers, which are the part of Oracle E-Business Suite application schema.
- In this situation, the customer is required to purchase licenses for the Oracle Database Enterprise Edition, as well as Oracle Internet Application Server Enterprise Edition for the total number of end users* or processors for which the modifications are deployed.
- The customer receives a restricted-use license of a limited set of products. Additionally, a limited set of other products is required to be licensed as defined in the following table.

No Modification summary table

Types of Modification to Oracle's E-Business Suite Applications	To be licensed in addition to the Oracle E-Business Suite Application(s)		
	Oracle Database Enterprise Edition	Oracle Internet Application Server Enterprise Edition	Oracle Development Tools & Technology
No Modifications	Not Required. Restricted Use license may only be used to run licensed Oracle E-Business Suite Applications.	Not Required. Restricted Use license may only be used to run licensed Oracle E-Business Suite Applications.	Not Required. Oracle Alert, Application Object Library, Report Manager, Oracle Applications Manager, EDI Gateway, XML Gateway. Restricted Use: iDS for installing and configuring discoverer workbooks and end user layer content. Additionally, iDS for warehouse metadata to support EDW delivered with Oracle Apps (Forms and Report Builders for diagnostics purposes only). Programmer for the underlying technology as invoked by the unmodified eBusiness Suite applications. Restricted Use for Oracle licensed applications users only: Customer Data Hub, Business Intelligence Publisher*** to publish information from Oracle Applications.

Modification to Application summary table

Types of Modification to Oracle's E-Business Suite Applications	To be licensed in addition to the Oracle E-Business Suite Application(s)		
	Oracle Database Enterprise Edition	Oracle Internet Application Server Enterprise Edition	Oracle Development Tools & Technology
Modifications implemented as Java programs which include Java that produces html interface or Java business logic AND/OR Modifications to Forms, Reports, and/or Workbooks	Not Required. Restricted Use license may only be used to run licensed Oracle E-Business Suite Applications.	Licenses required: For total number of end users** or Processors for which the modifications are deployed.	Not Required: Oracle Alert, Application Object Library, Report Manager, Oracle Applications Manager, EDI Gateway, XML Gateway. Restricted Use for Oracle licensed applications users only: Customer Data Hub. Programmer for the underlying technology as invoked by the unmodified eBusiness Suite applications. Licenses required: iDS and/or Discoverer Desktop Edition for developers making modifications; JDeveloper for all developers who build Java programs which access application schema and who are not licensed for iDS; For client server workbooks, Discoverer Desktop Edition for total number of actual users*.

Modification to Database summary table

Types of Modification to Oracle's E-Business Suite Applications	To be licensed in addition to the Oracle E-Business Suite Application(s)		
	Oracle Database Enterprise Edition	Oracle Internet Application Server Enterprise Edition	Oracle Development Tools & Technology
Modifications to the Database	License required: For total number of actual users* or Processors.	License required: For total number of end users** or Processors for which the modifications are deployed.	Not required: Oracle Alert, Application Object Library, Report Manager, Oracle Applications Manager, EDI Gateway, XML Gateway. Restricted Use: Diagnostic Pack restricted to the instance of the database where the application is run (if there are other database instances not pertaining to the application and the customer wants to use Diagnostic Pack, the customer must buy a full use license of the Diagnostic Pack for the other database instances). Restricted Use for Oracle licensed Applications users only: Customer Data Hub. License required: iDS and Programmer for developers making modifications; JDeveloper for developers who use to build Java programs which access application schema and who are not licensed for iDS; For client server workbooks, Discoverer Desktop Edition for total number of actual users*.

Notes:

Actual Users*: All users and/or devices accessing E-Business Suite applications running on Oracle Database must be licensed. Minimums must be met.

End Users**: All users and/or devices accessing modified E-Business Suite applications running on Oracle Database must be licensed. Minimums must be met.

Named User Plus :

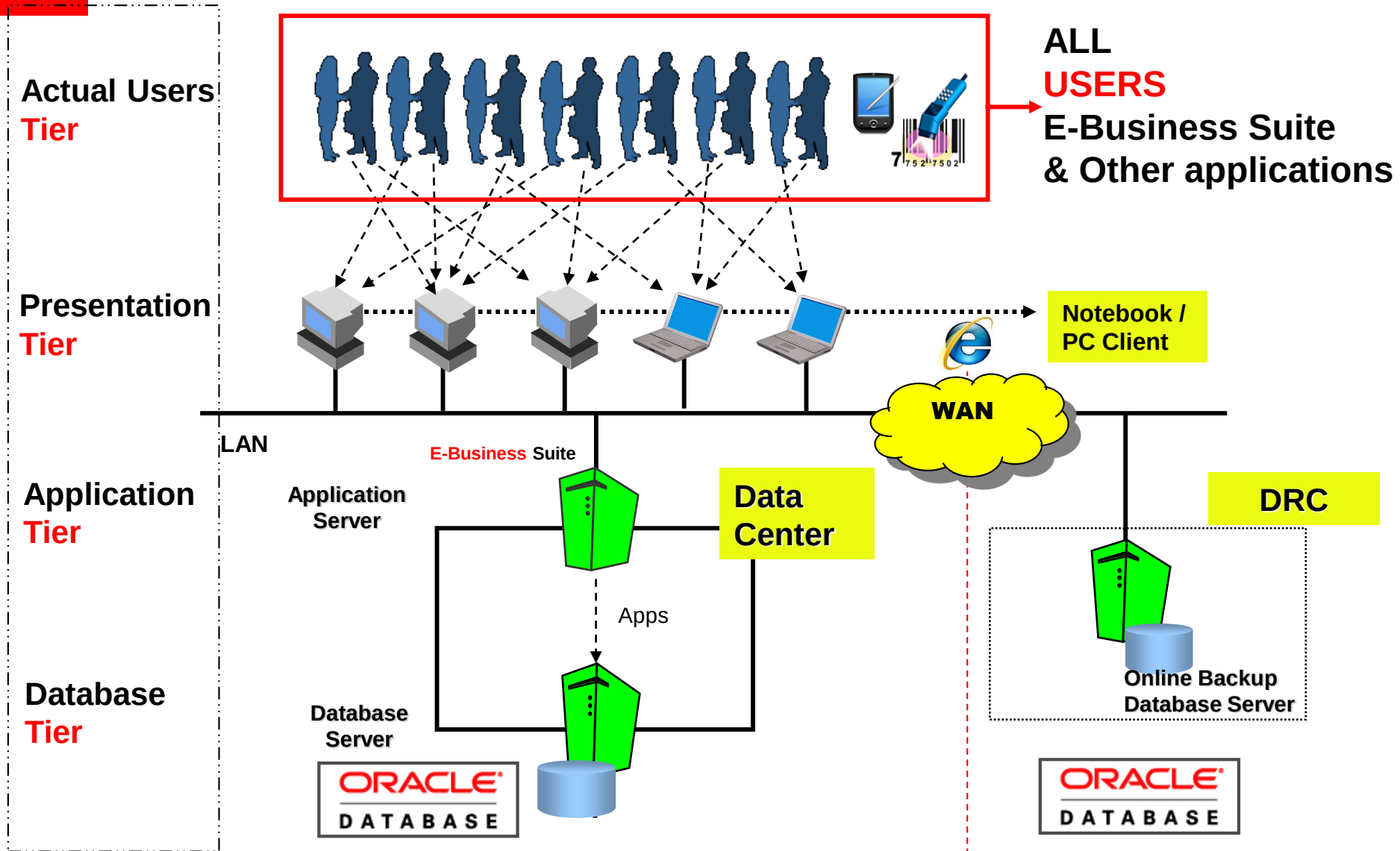
Is defined as an individual authorized by you to use the program which are installed on a single server or multiple servers, regardless of whether the individual is actively using the programs at any given time. A non human operated device will be counted as a named user plus in addition to all individuals authorized to use the programs, if such devices can access the programs. If multiplexing hardware or software (e.g. a TP Monitor or a web server product) is used, this number must be measured at the multiplexing front end.

MULTIPLEXING ENVIRONMENT

a large number of end users access a system via a middleware layer, so that the apparent number of users accessing the system is much smaller than the actual number of users

If multiplexing hardware or software is used, the number of Named Users must be measured at the multiplexing front end

LICENSE COMPLIANCE – MULTIPLEXING ENVIRONMENT



How to measure the License Number ?

1. Using AWR Scripts which running periodically 24 hour at peak time (e.g End of Month processing). This Script will capture all of **users** which has accessing the E-Business Suite application at any given time.
2. Print report / Monitoring of listing users from E-Business Suite application Admin menu
3. Use licensing method by **Processor** based license which has designed for unlimited users purpose. By this model, customer need to invest one time only to cover the growth of users in the future.

Note : *For User based license, any additional user will be subject to be charged separately*

How to calculate the License ?

❑ Example :

❖ **Server Application & Database with specs; Single processor x 8 Cores INTEL based. Actual user number application around 200 users.**

✓ If using Processor License for Enterprise program (license edition)

- Total Processor License = Processor Qty x Core Qty x MultiFactor Coefficient Proc
= 1 x 8 x 0.5 (INTEL Based)
= **4** Processor License per server

✓ If using Processor License for Standard program:

- Total Processor License = Processor Quantity (Occupied socket)
= **1** Processor License per server

✓ If using Named User Plus (NUP) License for Enterprise program

- Minimum Named User License for Database = 25 NUP per Processor or Actual users number whichever greater.
- Total Minimum Named User License = 25 x 4 Processor = **100** Named User licenses per server
- Total License should be purchased = **200** Named User License per server

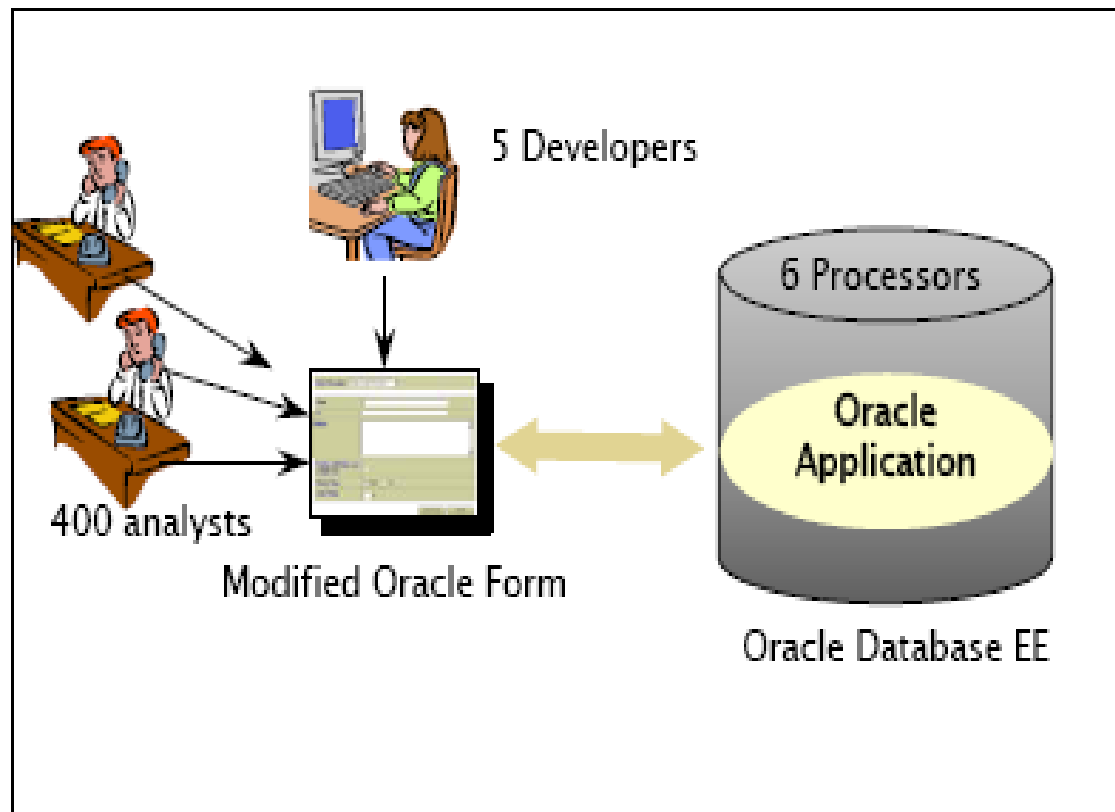
✓ If using Named User Plus (NUP) License for Standard program

- Minimum Named User License for Database = 5 NUP or Actual users number whichever greater.
- Total Minimum Named User License = **10** Named User License per server
- Total License should be purchased = **200** Named User License per server

Would be based
on the specification
of the server

Illustration #1

Illustration #1: Modifications to Form & Database



- Customer has modified Oracle Financials forms and APIs.
- The underlying schema of an Oracle application database is modified
- 400 financial analysts are using the application.
- 5 Developers are modifying the form

Illustration #1: License requirements

Products to be Licensed	Number of Licenses Required
Oracle Database EE	This product can be licensed by Processor or by Named User Plus metric. • By Processor: all processors where the database is installed and/or running must be licensed. ➤ Number of Processor licenses required: 6 • By Named User Plus: the number of licenses required is 1) the Named User Plus minimum (25 Named Users Plus per Processor) OR 2) the total number of actual users accessing the database (= # of analysts + developers), whichever is greater. 1) $25 * 6 \text{ Processors} = 150 \text{ Named Users Plus}$ 2) $5 \text{ developers} + 400 \text{ analysts} = 405 \text{ Named Users Plus}$ ➤ Number of Named User Plus licenses required: 405
iAS EE	This product can be licensed by Processor or by Named User Plus metric. • By Processor: all processors where this program is installed and/or running must be licensed. ➤ Number of processors licenses required: 6 • By Named User Plus: the number of licenses required is 1) the Named User Plus minimum (10 Named Users Plus per Processor) OR 2) the total number of actual users accessing the program (= # of analysts + developers), whichever is greater. 1) $10 * 6 \text{ Processors} = 60 \text{ Named Users Plus}$ 2) $5 \text{ developers} + 400 \text{ analysts} = 405 \text{ Named Users Plus}$ ➤ Number of Named User Plus licenses required: 405
Development Toolset	Total number of developers (5 developers) making modifications to the applications

A man in a dark suit, light blue shirt, and striped tie is sitting in a black leather office chair. He is gesturing with his right hand, palm facing up. Behind him is a large, silver Oracle server rack with multiple units. The rack has a perforated front panel and various control buttons and indicators on the right side. The background is a bright, out-of-focus office window.

Summary

SOFTWARE.
HARDWARE.
COMPLETE.

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Example : Summary of Modification level in **E-Business Suite** application which triggered additional licensing

Modification Type	Products To Be Licensed in Addition to the Application(s)		
	Oracle Database Enterprise Edition	Internet Application Server Enterprise Edition	Development Tools
No Modifications			
Modification to Forms / Reports / Workbooks		✓	✓
Modification to the Database	✓	✓	✓

Oracle distinguishes three levels of modification to E-Business Suite application that have special licensing requirements as described above.

Q&A

